CSIS JAPAN CHAIR

Japan Daily Brief

Monday, October 19, 2026

1,791 words · 7 min read

RE: Takaichi approval hits record low 49.1% · BOJ Ueda signals inflation near 2% · Yasukuni offerings draw China protest · Japan-Russia territorial talks at 70yr mark · MMX Mars mission launch

NIKKEI 225	USD/JPY	BRENT	BOJ RATE
64,916.70	158.17	$108.40	1.00%
▼ -4.22%	▼ -0.22%	▲ +2.21%	

TOP STORIES

POLITICS-DIET

Takaichi Cabinet approval rate hits record low at 49.1%: Kyodo poll

The Kyodo News poll records the first sub-50% approval reading for the **Sanae Takaichi** cabinet since her October 2025 inauguration, with 49.1% support — a record low. The decline follows the dismissal of Agriculture Minister Kazuo Yana and public concern over the weak yen and rising prices, with respondents citing 'no alternative' as the primary reason for remaining support.

KYODO NEWS

ECONOMY-BOJ

BOJ chief says underlying inflation 'quite close' to price goal

BOJ Governor **Kazuo Ueda** stated Monday that Japan's underlying inflation is 'quite close' to the 2% price stability target and identified AI-driven demand as an additional upward price pressure. Ueda kept the JGB bond-purchase tapering stance unchanged and indicated further rate hikes remain on the table, with the yen holding near 158.00 following his remarks.

REUTERS

INDO-PACIFIC

Japan seeks territorial solution with Russia 70 yrs after joint declaration

The Japanese government vowed Monday to continue seeking a territorial resolution with Russia on the 70th anniversary of the 1956 Japan-Soviet Joint Declaration, despite bilateral relations at their lowest point in decades. Russia has suspended peace-treaty talks in retaliation for Japanese sanctions and has asserted the territorial dispute is settled, while its FSB continues to hold Hokkaido Shimbun reporter Yuki Imai in Sakhalin.

MAINICHI

CHINA-JAPAN

Japan PM sends cash offering to war-linked Yasukuni, more ministers visit

PM **Sanae Takaichi** sent a monetary offering to Yasukuni Shrine for the autumn grand festival on Monday, with LDP General Council Chair **Hiroshi Kajiyama** also making a ritual cash offering on her behalf; a second

cabinet minister made a personal visit. China's Ministry of Foreign Affairs lodged a formal protest over the offerings, and state media including Xinhua and Global Times issued coordinated condemnations accusing Japan of reviving militarism.

MAINICHI

TECHNOLOGY

Japan leads mission to make first return trip to Mars

Japan's JAXA MMX (Martian Moons eXploration) spacecraft is set to launch early Tuesday morning Japan time on a five-year round-trip mission to collect samples from Phobos, the first such return mission to a Mars moon in history. The ¥55.3 billion mission will be watched for potential biosignature implications from material originating in Mars's vicinity.

FT

POLITICS-DIET

Bloomberg: Takaichi public support slips further after cabinet scandal

Bloomberg reporting confirms the pattern in the Kyodo poll: PM Takaichi's public support has slipped following the cabinet scandal involving the dismissed agriculture minister. The Bloomberg report also covers Takaichi's rejection of criticism that her fiscal and monetary policy stance is driving the weak yen and high interest rates.

BLOOMBERG · OCT 19

STAT OF THE DAY

49.1%

Takaichi cabinet approval — record low since inauguration (Kyodo)

The Kyodo poll records the first sub-50% reading for the Takaichi cabinet, driven by the agriculture minister scandal and public concern over the weak yen and rising prices.

Takaichi Cabinet approval rate hits record low at 49.1%: Kyodo poll — Japan Wire by Kyodo News

JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · MONDAY, OCTOBER 19, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi sent a monetary offering to Yasukuni Shrine for the autumn grand festival and participated in Lower House Budget Committee deliberations, including a verbal exchange with JCP lawmakers over the LDP slush-fund issue.

内閣官房・経済産業省 · CHIEF CABINET SECRETARY / METI

Tokyo requests fair treatment for Japanese vehicles in EU market

Japan formally called on the European Union to provide fair market treatment for Japanese vehicles, according to Jiji Press citing a Chief Cabinet Secretary-level communication. The request reflects ongoing concern about EU automotive policy as Japan's auto sector faces tariff and regulatory headwinds.

→ Google News ↗

DIET SESSIONS / LDP

HOUSE OF REPRESENTATIVES

Consumption tax cut bill enters formal committee deliberation on October 20

The food consumption tax cut bill is scheduled to begin deliberations in the Lower House on Tuesday, October 20, as ruling and opposition parties intensify negotiations over conditions for passage. Asahi Shimbun reports that governing-opposition maneuvering is accelerating ahead of the committee session.

HOUSE OF REPRESENTATIVES BUDGET COMMITTEE

PM Takaichi misspoke in committee, referring to Defense Minister Koizumi as 'Prime Minister Koizumi'

PM **Sanae Takaichi** made an inadvertent verbal slip during a Lower House Budget Committee session, momentarily calling Defense Minister Shinjiro Koizumi 'Prime Minister Koizumi.' Separately, Takaichi and JCP lawmaker Yamazoe clashed over the handling of LDP 'slush fund' members in the committee.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
ANN · Oct 19, 2026	**47.1%**	**33.3%**
Asahi · Oct 19, 2026	**50%**	**35%**
Kyodo · Oct 19, 2026	**49.1%**	**33%**
FNN · Oct 19, 2026	**62.6%**	**32.3%**
Yomiuri · Oct 19, 2026	**57%**	**30%**
NHK · Oct 14, 2026	**50.8%**	**32%**
JNN · Oct 4, 2026	**63%**	**33.9%**
Nikkei · Sep 5, 2026 · **44d ago**	**62%**	**33%**

Discourse: All four polling houses now show declining Takaichi approval, with Kyodo and Jiji recording record lows, driven by the agriculture minister scandal and public unease over the weak yen and fiscal policy direction.

Poll tracker: **Observing Japan approval-rating aggregator →**

BUSINESS & ECONOMY

ENERGY · BLOOMBERG

Japan wholesale power prices at four-year high on rising coal and LNG costs

Japanese wholesale electricity prices have reached a *four-year high* driven by elevated coal and LNG procurement costs. The price surge compounds inflationary pressure on households and industry at a moment when the BOJ is assessing the breadth of the 2%-or-above CPI overshoot.

AUTO · MAINICHI · MITSUBISHI ELECTRIC, HON HAI PRECISION INDUSTRY

Mitsubishi Electric and Hon Hai unit target ¥1 trillion in combined automotive sales by FY2030

Mitsubishi Electric Corp. and a subsidiary of Taiwan's Hon Hai Precision Industry announced Monday a joint target of *¥1 trillion ($6.3 billion)* in sales by fiscal year 2030, focusing on autonomous-driving and automotive electronics. The partnership deepens Japan-Taiwan industrial ties in the automotive technology segment.

MACRO · THE JAPAN TIMES

Japan conducts English-language investor outreach to calm fiscal fears as foreign JGB holdings hit 13%

The Takaichi administration has launched English-language outreach to foreign investors concerned about Japan's fiscal trajectory, as foreign holders account for *13%* of Japanese Government Bonds outstanding at end-June 2026, up from about 8% in 2012. PM Takaichi has declined to rule out bond issuance to fund the consumption tax cut.

SEMICONDUCTORS · THE JAPAN TIMES · KIOXIA

Kioxia shares face pressure from record leveraged long positions as margin buyers unwind

Outstanding leveraged long positions in Kioxia were the *largest of any TSE-listed company* as of October 15, creating significant downward pressure as margin buyers unwind. The Nikkei fell *4.22%* on Monday amid a broader tech selloff and rising oil prices.

FINANCE · NIKKEI ASIA

Japan's regional banks post record growth in property lending

Regional banks across Japan have logged record growth in real-estate lending, raising concerns about concentrated risk at institutions already under scrutiny from rising BOJ policy rates. The expansion comes as the BOJ signals further rate normalization.

REGIONAL PRESSURE WATCH

Normal — 28 items (BOJ: 21, Chief Cabinet Sec: 5, DPRK: 2)

CHINA

China's Ministry of Foreign Affairs lodged a formal protest over PM Takaichi's monetary offering to Yasukuni and the visit by a second cabinet minister. State media Xinhua and Global Times issued coordinated condemnations, with Xinhua calling on Japan to 'confront its past' and Global Times labeling the Takaichi government an 'extremist cult' — the latter constituting the sharpest state-media rhetoric against a sitting Japanese government in the current period. China also reportedly brought its 'new militarism' accusations directly to the Trump administration, per Japan Forward citing Defense Minister Koizumi.

NORTH KOREA

KCNA confirmed a successful test of the 'Zam-2.0' AI-assisted high-speed torpedo system, consistent with tracker data from October 17-18. The test adds an autonomous underwater strike dimension to North Korea's October weapons-testing campaign, which has already included submarine-launched cruise missiles.

RUSSIA

On the 70th anniversary of the 1956 Japan-Soviet Joint Declaration, Japan reaffirmed pursuit of a territorial solution while Russia maintains its position that the dispute is settled; FSB continues to deny consular access to detained Hokkaido Shimbun reporter Yuki Imai. A Nikkei Asia interview with a former detainee indicates Russia is seeking a concession in exchange for Imai's release.

Senkaku / ECS: No new China Coast Guard territorial-water intrusion or PLA activity near the Senkakus is reported in today's Tier 1 or Tier 4 data; the most recent tracker entry on CCG activity dates to October 10.

> *“Japan must confront its past, not revive the specter of militarism”*
>
> Xinhua (Chinese state news agency) · Xinhua Commentary: Japan must confront its past, not revive the specter of militarism

> *“The Takaichi government is increasingly resembling an extremist cult”*
>
> Global Times (Chinese state-affiliated media editorial) · The Takaichi government is increasingly resembling an extremist cult: Global Times editorial

Bottom line: China's protest over Yasukuni offerings has escalated to state-media denunciations of unprecedented severity while Beijing reportedly presses its 'militarism' narrative with the Trump administration directly — the diplomatic and public-messaging tracks are running in parallel. Watch whether Washington responds or distances itself from Japan's shrine activity.

U.S.-JAPAN RELATIONS

ALLIANCE · STRAITS TIMES RE JAPAN

Japan deploys long-range missiles in joint US military drill

Japan deployed long-range missiles in a joint exercise with US forces, per the Straits Times. The deployment comes as Beijing has reportedly raised its accusations of Japanese 'new militarism' directly with the Trump administration.

INDO-PACIFIC PARTNERS

KOREA-JAPAN · YONHAP

South Korea defense chief and Japanese envoy agree to expand bilateral defense exchanges

South Korea's defense minister and the Japanese ambassador agreed to expand bilateral exchanges in the defense sector, per Yonhap. The meeting reflects ongoing effort to institutionalize Japan-ROK security cooperation.

AUSTRALIA · THE JAPAN TIMES

Daiichi Life's $4.4 billion Challenger bid deepens Japan-Australia financial ties

The proposed Daiichi Life acquisition of Challenger would make a Japanese insurer the controlling entity in Australia's largest retirement-income platform. The deal, if completed, would be among the largest Japanese financial-sector acquisitions in Australia.

SOUTHEAST ASIA · THE JAPAN TIMES

Asian Para Games open in Nagoya with athletes from 45 countries

The Asian Para Games officially opened in Nagoya on Monday, with approximately 3,000 athletes from 45 countries and regions competing; Japan has fielded about 280 athletes. Nagoya is hosting the event as part of Japan's broader Paralympic sports development program.

UPCOMING

Oct 20 — **Consumption tax cut bill enters Lower House committee deliberation**

The food consumption tax cut bill begins formal Diet deliberation on Tuesday. Ruling-opposition negotiations over terms of passage are intensifying.

Oct — **JAXA MMX Mars moon sample-return mission launch (early Tuesday, Japan time)**

20

Japan's Martian Moons eXploration (MMX) spacecraft is scheduled to launch early Tuesday morning Japan time for a five-year round-trip mission to collect samples from the Martian moon Phobos, the first such mission in history.

Oct 21

Takaichi Cabinet first anniversary

The Takaichi cabinet completes one year in office on October 21, 2026, with approval ratings at a record low of 49.1% per Kyodo.

Oct 26

Deadline: Female shogi player Nishiyama to decide on pro 'kishi' qualification

Female shogi four-crown holder Tomoka Nishiyama holds a press conference October 26 to announce whether she will exercise her right to apply for the professional kishi (male-division) license — a first in shogi history.

Oct 31

Japan-Germany summit expected in late October

A Japan-Germany leaders' summit is being arranged for late October, per Japan Today. Specific date and agenda not yet confirmed.

CSIS Japan Chair

JAPAN DAILY BRIEF

Washington, D.C.

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